

MATRIX

Full Doc	Full Doc				
	Max Loan Amount	Min FICO	Primary	2nd Home	Investment
	\$250,000	740	80	75	70
		700	80	75	65
		680	75	75	n/a
	\$350,000	740	80	75	65
		700	80	75	65
		680	75	70	n/a
	\$500,000	740	75	75	n/a
		700	75	70	n/a
		680	75	65	n/a
12 or 24 month Bank Statement	Bank Statement				
	Max Loan Amount	Min FICO	Primary	2nd Home	Investment
	\$250,000	740	80	75	70
		700	75	70	65
	\$350,000	740	75	75	65
		700	75	70	65
	\$500,000	740	75	70	n/a
		700	70	65	n/a

General Requirements

Loan Amount	Min. Loan Amount	\$50,000	Max. Loan Amount	\$500,000
Eligible Property	- SFR - 2 - 4 units - Warrantable condo			
Credit Event	BK / FC / SS / DIL / PreFC / MC / NOD / Multiple Derogatory Events			> 84 months
	Forbearance / Loan Modification / Deferral			> 12 months
Restriction	1st Time Home Buyer	Not Applicable	Ineligible State & City	Texas / Baltimore City, MD
	State of IL	Min. Credit Score 720	State of TN	Max. Term : 15 yrs
Products and Terms	- Variable Rate Terms: 15, 20, 25, 30 years - Index: Prime as published in the Wall Street Journal (daily) - Margin: See Rate Sheet - Floor Rate: 4.0 - Maximum Rate: 18% - Daily Periodic Interest Rate: Index plus Margin - Finance Charges: Interest accrues on the day of an advance and continues until the outstanding balance is paid in full. Interest is calculated daily based upon the Daily Periodic Rate and the daily balance. - Draw Period: 2 year, 3 year, or 5 year - Minimum Payment: - Draw Period: Interest only calculation, greater of accrued interest or \$100 - Repayment Period: Amortizing principal and interest payment based upon the maximum line amount, repayment term, current rate (Index plus Margin)			
Qualifying Payment for Subject Loan	Qualifying Payment for Subject Loan: Amortizing principal and interest payment based upon the maximum line amount, repayment term, current rate (Index plus Margin)			

General Requirements	
Advances	- Initial Advance: Minimum 50% of total line amount - Minimum Advance: \$1,000.00 - Maximum Advance: Line amount - Lock-out Period: Advances not available for a period of 90-days after closing to allow for servicing transfer - HELOC Purchase and Settlement by Verus: Verus uses the initial advance at the time of purchase to determine final settlement price. If the initial advance has been paid down by the borrower prior to purchase by Verus, the final settlement price will be based on the current HELOC balance.
Ineligible loans	- Ineligible loans include State High Cost and HOEPA - Points/Fees not to exceed 5%
Home Equity Combined Loan to Value (HCLTV)	Maximum line amount of the HELOC combined with the total outstanding balance of the first lien are used for the HCLTV ratio
Combined Loan Balance	Maximum line amount of the HELOC combined with the total outstanding balance of the first lien not to exceed \$2,000,000
Loan Purpose	Stand-Alone Cash-Out (minimum ownership of 12 months required)
Occupancy	Primary, Second Home, Investment
Cash-In-Hand	Max: \$500,000
Eligible Borrower	- U.S. Citizen - Permanent Resident Alien
Vesting	Vesting in an entity is ineligible
Ineligible Loan Features	- Lien Free Properties – if the subject property is lien free, including delayed financing, ineligible. - Unseasoned cash-out – if the existing lien is a cash-out, measured within six (6) months of the note date to note date. - Frequent Refinances – Two (2) or more cash-out refinances in the past twelve (12) months.
First Lien Eligibility	
First Lien Documentation Requirements	- First lien documentation requirements, all of the following apply: - Copy of 1st lien Note - Default interest rate on Note cannot exceed Note rate - If Interest Only and/or ARM, terms of the Note to be reviewed (See DTI Requirements) - Copy of most recent monthly mortgage payment statement - Utilized to determine if payment includes escrows (See DTI Requirements)
First Lien Qualifying Payment	- First lien qualifying payment for the debt-to-income (DTI) ratio: - Fixed Rate: Note rate amortized over the total loan term. - Adjustable Rate Mortgage (ARM): Qualifying rate is the higher of the fully indexed rate or the Note rate. - Interest Only (Fixed/ARM): Qualifying rate is amortized over the remaining term after the expiration of the interest only period.
Ineligible First Liens	- Ineligible First liens with high-risk features include, but are not limited to: - Forbearance, modifications, or deferrals completed or reinstated within 12- months of the Note date - Loans in active forbearance or deferment - Negative amortization including loans with Paid-In-Kind (PIK) features - Balloon, if the balloon payment becomes due during the amortization period of the new 2nd lien - Reverse Mortgages

First Lien Eligibility	
Ineligible First Liens	- Loans secured by more than one underlying property, including cross collateralized loans or blanket mortgages - Home Equity Line of Credit - Note with default interest rate greater than the Note rate
Income Requirements	
Standard Doc	- Wage/Salary: Paystubs, W-2's, 1-year or 2-years Tax Returns, IRS Form 4506-C, Verbal VOE - Self-Employed: 1-year or 2-years Personal and Business Tax Returns, YTD P&L, IRS Form 4506-C
Personal Bank Statements	- 12- or 24-months of personal and 2-months of business bank statements. - Qualifying income is determined by the total eligible deposits from the 12- or 24-months of personal statements divided by the number of statements. - The business bank statements must reflect business activity and transfers to the personal account.
Business Bank Statements	- 12- or 24-months of business bank statements. Qualifying income is determined by one of the following analysis methods: - Fixed Expense Ratio (50%)
Property Requirements	
Acreage	Property up to 10 acres, not meeting the rural definition, eligible
Appraisal Requirements	- Transferred appraisals are not eligible <u>Loan Amount <=\$400,000</u> Provide one of the following: - AVM from an approved vendor with an acceptable FSD score and a new Property Condition Report with acceptable findings - AVM may not be more than 90 days old at closing (date the Note is signed) - Exterior Drive-By appraisal (2055 or 1075) - Only allowed for one (1) unit property, with or without an accessory dwelling unit (ADU) - New Appraisal (FNMA Form 1004/1025/1073) - Prior First lien appraisal dated within 6- months of subject loan Note date allowed subject to the following: - The lender on the prior appraisal must be the same as the subject loan, and - A new Property Condition Report with acceptable findings, and - Recertification of value by the original appraiser. <u>Loan Amount >\$400,000</u> Provide one of the following: - New Appraisal (FNMA Form 1004/1025/1073) - Prior First lien appraisal dated within 6- months of subject loan Note date allowed subject to the following: - The lender on the prior appraisal must be the same as the subject loan, and - A new Property Condition Report with acceptable findings, and - Recertification of value by original appraiser, and - AVM from an approved vendor with an acceptable FSD score. - AVM may not be more than 90 days old at closing (date the Note is signed). - The lower of the Prior Appraisal value or the current AVM will be used to determine HCLTV.
Listing Seasoning	Properties currently listed for sale or previously listed for sale within the past 6-months are not eligible
Hazard Insurance	- Hazard Insurance coverage must provide for claims to be settled on a replacement cost basis - Loss payee clause must reflect seller as additional insured

Property Requirements	
Title Requirements	- For loan balances less than or equal to \$250,000, provide one of the following: - Owner and Encumbrance Report (O&E), dated within 60- days of the Note date, to include: - Current Grantee / Owner - How property was conveyed to current owner - Liens (e.g., mortgage, UCC, other financing) - Involuntary liens and judgments - Property Tax Information with break-down of all taxes including special assessments - Legal Description - ALTA Full Title Policy - ALTA Short Form Residential Limited Coverage Junior Loan Policy - For loan balances greater than \$250,000, provide one of the following: - ALTA Full Title Policy - ALTA Short Form Residential Limited Coverage Junior Loan Policy - <u>Ownership Seasoning</u>: Subject property must be owned a minimum of 12-months (on title) to be eligible - <u>Existing Subordinate Liens</u>: All existing subordinate liens must be satisfied - <u>Solar Panels</u>: UCC filings associated with the subject property are ineligible
Flood Certificate and Flood Insurance	- Flood determination required for every loan file - Properties within a flood zone require evidence of insurance coverage in accordance with the HFIAA - Loss payee clause must reflect seller as additional insured
Hazard Insurance	- Hazard Insurance coverage must provide for claims to be settled on a replacement cost basis - Loss payee clause must reflect seller as additional insured
Escrows	Escrows for taxes and insurance are not permitted for second lien programs
General Requirements	
Credit Score	- Use the lowest representative score amongst all borrowers - Representative score for each borrower is the lower of two (2) or middle of three (3) credit scores - Rapid rescoring is not allowed
Assets / Reserves	Not applicable
Document Age - Property	- Title Report (or O&E): 60-days - Appraisal: 120-days - AVM: 90-days - Credit Report: 120-days
Tradelines	All borrowers must have three (3) reporting with one (1) currently open and active for at least 24-months based on credit report pull date. Other two (2) reported for 12-months can be open or closed
Max DTI	50%